COMMERCIAL BUSINESS LOAN AGREEMENT

This Commercial Business Loan Agreement (the **"Agreement"**) is entered into and made effective as of Date (the **"Effective Date"**), by and between the participating parties defined below.

1. PARTIES

BORROWER:
Legal Business Name: Joseph Njuguna
Entity Type & Jurisdiction: Kenya
Principal Business Address: Moi International Airport

LENDER:
Financial Institution / Entity Name: alanmeh58@gmail.com
Principal Office Address: Nakuru

2. PRINCIPAL LOAN AMOUNT & DISBURSEMENT

- **Principal Sum:** Lender agrees to make a commercial term loan to Borrower in the fixed principal amount of **$[Amount]** (the **"Loan"**).
- **Disbursement Schedule:** The entire Principal Sum shall be disbursed in a single lump-sum transfer directly to Borrower's designated commercial bank account on or before Date, subject to the execution of this Agreement and fulfillment of standard closing conditions.

3. INTEREST RATE & REPAYMENT TERMS

- **Interest Rate:** The outstanding principal balance shall accrue simple interest at a fixed rate of **7.5% per annum**. Interest begins accruing on the date of disbursement.
- **Term Length:** The duration of this Loan shall be **36 months**, commencing on the Effective Date.
- **Maturity Date:** All outstanding principal, accrued interest, and applicable fees shall be fully due and payable on Date (the **"Maturity Date"**).
- **Repayment Schedule:** Borrower shall repay the Loan in **36 consecutive monthly installments**, comprising principal and interest amortized equally over the 36-month term. Installments shall be due on the first business day of each calendar month.

Representative Amortization Overview

4. PREPAYMENT RIGHTS

Borrower retains the absolute right to prepay the principal balance, in whole or in part, at any time prior to the Maturity Date.

- **No Penalty:** Prepayment may be executed without any penalty, premium, exit fee, or surcharge.
- **Application of Funds:** Any partial prepayment shall be applied first to accrued unpaid interest, and secondly to reduce the remaining principal balance, shortening the remaining term or lowering subsequent monthly installments accordingly.

5. COLLATERAL & SECURITY INTEREST

To secure performance of Borrower's obligations under this Agreement, Borrower grants Lender a specific, limited security interest strictly confined to the explicit business assets defined below:

- **Pledged Collateral Description:**
  File
- **Scope & Limitation:** This security interest is limited exclusively to the specific commercial equipment and assets detailed above. Lender explicitly waives any right to blanket liens on general corporate inventory, receivables, or unallocated assets, and explicitly agrees that no personal residences, real property, or non-business assets of Borrower's owners shall be encumbered or attached.

6. NOTICE OF DEFAULT & CURE PERIOD

- **Events of Default:** An event of default occurs upon non-payment of any due monthly amount, or material breach of covenants herein.
- **Mandatory Notice & Grace Period:** Prior to declaring a default or accelerating repayment, Lender must issue a formal written **Notice of Default** to Borrower. Borrower shall have a mandatory **10-day right-to-cure period** from the date of written notice receipt to remedy the specified non-payment or breach.
- **Remedies:** No acceleration of the Loan or enforcement against Collateral may occur prior to the expiration of the 10-day cure period.

7. GOVERNING LAW & DISPUTE RESOLUTION

- **Governing Law:** This Agreement shall be governed by, interpreted, and enforced in accordance with the laws of the State of Place, without giving effect to conflicts of law principles.

- **Dispute Resolution:** Any legal action, claim, or dispute arising out of or relating to this Agreement shall be resolved through standard state court jurisdiction in the county of the principal place of business of Borrower.
- **Right to Defense:** Both parties explicitly reserve full legal rights to present defenses, counterclaims, and evidence in any dispute proceeding.

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8. EXECUTION & SIGNATURES

IN WITNESS WHEREOF, the parties hereto have caused this Commercial Business Loan Agreement to be duly executed by their authorized representatives as of the Effective Date.

BORROWER

Authorized Signature: _____
Printed Name: Person
Title: Person
Date: Date

LENDER

Authorized Signature: _____
Printed Name: Person
Title: Person
Date: Date